UNIVERSITÀ DEGLI STUDI DI BERGAMO | Dipartimento di Scienze Aziendali

A Social Connection Approach to Responsibility

Master's Degree on Accounting, Governance and Sustainability

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THE TRUE COST

2015 - PG-13 | Directed by: Andrew Morgan




THE TRUE COST FEATURE


THE MAKING OF THE TRUE COST

ABOUT

This is a story about clothing. It's about the clothes we wear, the people who make those clothes and the impact it's having on our world. The price of clothing has been decreasing for decades, while the human and environmental costs have grown dramatically. The True Cost is a groundbreaking new documentary film that pulls back the curtain on an untold story and asks us each to consider, who pays the price for our clothing?

Filmed in countries all over the world, from the brightest runways to the darkest slums featuring interviews with the world's leading influencers including Stella McCartney, Livia Firth, Vandana Shiva and many more. This unprecedented project invites us all on an eye opening journey around the world and into the lives of the many people and places behind our clothes.

Notes on
The True Cost movie

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The True Cost



- *Is the current fashion system sustainable? Why?*
- *Which are the main problems of the current fashion system?*
- *Who is responsible?*
- *What the director and the producer are trying to do with this documentary?*
- *Are there any sentences, scenes … that you remember or that you keep in mind or would like to keep in mind?*
- *What can we do? Is there any solution?*
- *…*

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Is the present fashion system sustainable? Why? Which are the main problems?

- Only focused on profit and not on consequences on people and environment
- Sustainability = preservation for future generation. This model doesn't look at future generations
- Outsourcing - Cheap labour and weak environmental regulation
- Not development of countries
- Not consider the impacts of choices (OMG, etc.)
- Cost reductions imperative without any other consideration (security, safety, etc.)
- Buy cheaper become a "fashion"/"must" – cultural imperative
- Consumerism
- Concentration of power is few companies
- Lack on transparency in supply chain
- …

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Who is responsible?

- Us – as people, as society, as consumers, as investors…
- Governments (both in producing countries – because they don't protect they citizens they also act for profit - and in countries where brand companies have headquarters – they should control the activities of their companies)
- Companies (Fast fashion brand companies, Chemical companies, local companies)
- Workers
- …

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➢*What the director and the producers are trying to do with this documentary?*

- Increase awareness
- Increase responsibility
- Supporting with data, numbers, stories, real people facts
- Showing the reality
- Induce corporate change/ system change
- …

Prof. Wolff
"My God, we can do better than this!"

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What can we do? Is there any solution?

- Think more
- Think less and do more
- Close the attitude-behaviour gap
- Increase awareness and empowerment of people who are suffering
- …

- Do people really want to change?

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A few messages …

Arif Jebtik - Garment factory manager

"It is not right. It's 20th century, everybody knows. Everybody should take the responsibility for that!"

Shima Akhter Bangladesh – worker

"we have no voice in the system"

Journalist

You can't deny that the fashion industry is having a high impact

Tim Kasser

"What we need is a revolution of values"

Patagonia President

"We look for customers that recognize that they are part of the problem! Consumers that recognize their responsibility

Think twice before buying … asking where the products came from"

Cambodia worker

"The Government should know how poor we are…"

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A few messages ...

Safia Minney – CEO People Tree

"This is the beginning of a turning point not just for, you know, a responsible way of doing fashion, but for a new way of doing capitalism, for a new way of doing economics.

I'm sure that we will see a significant change over the next ten years.

Whether it's in time or not is another question".

Tim Kasser – Psycologist

"Martin Luther King Jr., at a speech in a Brooklyn church, he said that what America needed was a revolution of values.

It is needed to stop treating people like things.

It is needed to stop treating people in ways that were just about profit.

But instead to treat people in a real and human way".

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A few messages ...

Larhean Pepper - Organic Cotton Producer

"I think one of the problems we have in the current model is it's all about the profit and it doesn't take into consideration this cost and what cost. The cost of polluting the water; the cost of labour; the cost of bars on the window that people die when a fire breaks out in the factory; the cost of farmers that don't have access to education and health care. And so we haven't really factored in what the true cost is".

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A few messages …

Richard D. Wolff – Economist

"My God, we can do better than this.

If what we want is to spread, as I would argue we do, spread industry around the world, not concentrated in one place.

Let the benefits be shared globally. Then let's do that in an orderly, reasonable, careful way".

Vandana Shiva – Environmental activist

"We need to recognize that capital is just money.

Money is a means, and people should be accountable for how it's used.

We need to celebrate the creative power of human beings.

And we need to talk of creative work, we must stop talking about labor.

We need to look at the land as not a commodity, to be speculated on and traded, but as the very basis of our life, as Mother Earth".

Narrator

"In the midst of all the challenges facing us today, for all the problems that feel bigger than us and beyond our control, maybe we could start here with clothing".

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Governing sustainability in a complex world

Emerging challenges

- Globalization: cultural, legal and accountability issues
- Networked economy
- Information economy

Which implications in attribuiting moral responsibility?

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Agenda

1. The diffusion of responsibility and the problem of denial of responsibily
2. The social connection model to responsibility
3. When an «issue» become an «Issue» for companies

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Diffusion of responsibility

People engage in collective effort because we can do things together that we cannot do as well or as quickly (or even at all) as individuals.

We leave in a world more and more interconnected.

As long as there is division of labor, there will be questions about the division of spoils and the division of responsibility.

Risk of denial of responsibility

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General sources of denial (Phillips, 2010)

Knowledge denial → *"We didn't know"*

Key Question: What companies should know?

Control denial → *"We knew, but couldn't do anything about it"*

Key Question: When, if ever, does "can" imply "ought"?

Connection denial → *"Whether we knew or not, it's another organization's problem"*

Key Question: What establishes a connection?

Cambodia worker
"The Government should know how poor we are…"

Garment factory manager:
"It is not right. It's 20th century, everybody knows. Everybody should take the responsibility for that!"

Patagonia President
"We look for customers that recognize that they are part of the problem! Consumers that recognize their responsibility
Think twice before buying … asking where the products came from"

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Deniability networks

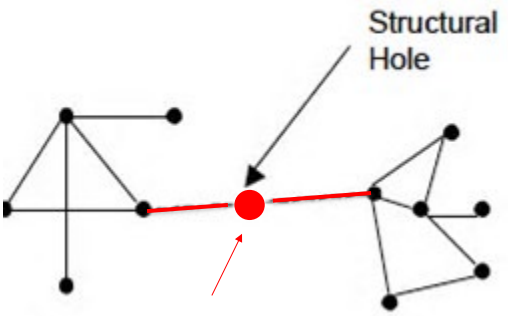
«Deniability networks invert the typical role of information in networks. Typically in network analysis, access to information is a source of power and the ability to broker information or avoid brokarage by other is an additional source of power for any given actor.

In deniability networks an actor seeks to actively prevent the flow of information – at least to themselves».

(Phillips, 2009: 537)

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Structural hole and *tertius gaudens*



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Tertius gaudens

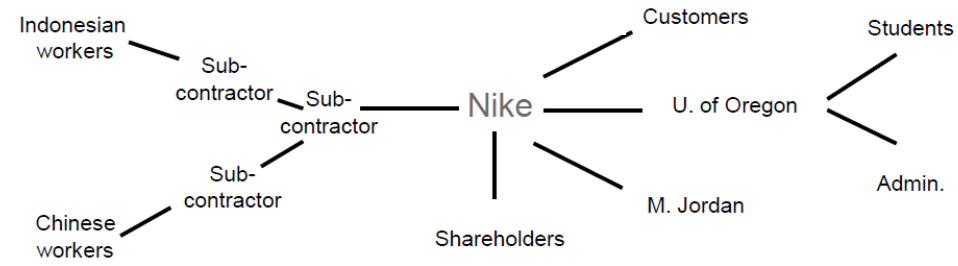


Figure 1: Nike as *tertius gaudens*

Phillips, 2009: 538

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Tertius illuminans



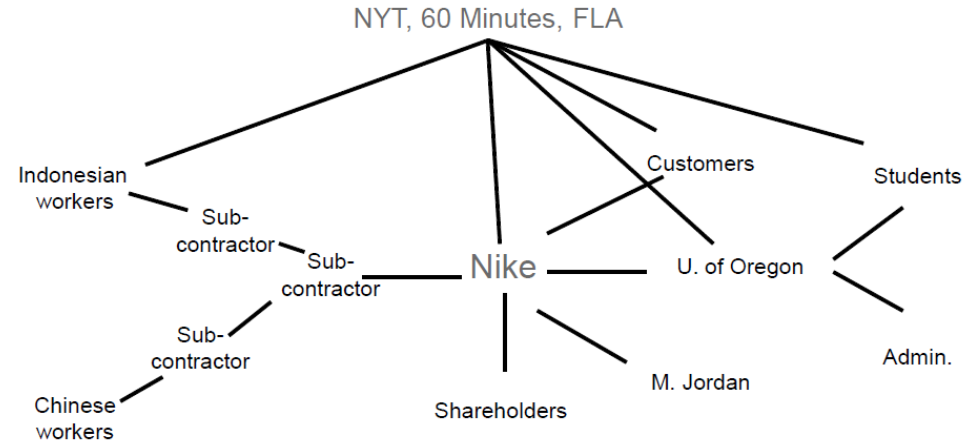


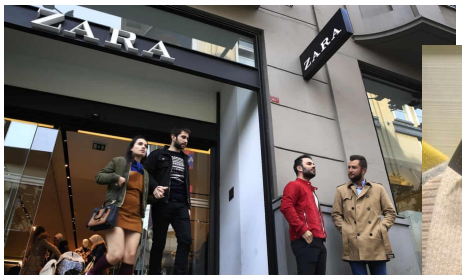
Figure 2: Media, Activists, NGOs as *Tertius Illuminans*

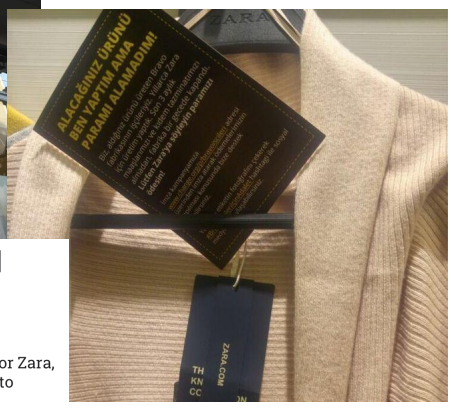
Phillips, 2009: 539

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"I made this item you are going to buy, but I didn't get paid for it."

November 2017





WORN DOWN Zara shoppers 'find notes from workers begging to be paid on clothes tags'

Workers from a closed down outsourced manufacturer for Zara, as well as other high street retailers, have been going into shops and leaving the tags inside clothes

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Tertius illuminans







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Building relationships and networks to share responsibilities

- The creation of relationships and networks could be based on **cooperation and coordination** destined to attempt the environmental uncertainty control (Resource dependency theory).
- The reciprocity theory identifies the formation of a network on the need to obtain **mutual benefits or to share values** (Reciprocity theory).
- Organizations may seek relations with governing and controlling authorities (also "other organizations") to obtain authorizations and better conform to their guidelines. This allows them **to obtain legitimization** in the eyes of society (Institutional theory).

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Connection and responsibility

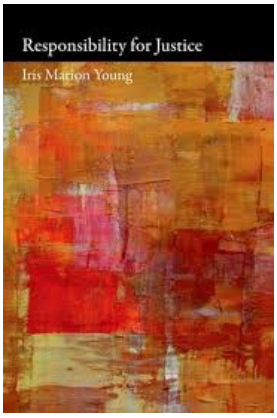
In the initial stages, and perhaps even longer, there may be asymmetries in the perceptions of network membership. Actors may believe themselves to be part of a network, while others continue to see them as arm's-length trading partners.

These different perceptions of the nature of the relationship can lead to different perceptions of responsibility and obligations. And these disparate perceptions can form the basis for a sort of connection deniability. What is needed in such cases is a critical, independent basis for discerning who is a member of the network.

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The social connection model





Iris Marion Young

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Social connection approach

"Our responsibility derives from belonging together with others in a system of interdependent processes of cooperation and competition through which we seek benefits and aim to realize projects" (Young, 2006: 119).

The core idea of a social connection approach is to encourage actors to consider the broader consequences of their activities.

Societal and environmental issues are rather "systemic", that is

"caused by a network of actors who contribute to, enforce, or mitigate harm through their actions and interactions" (Schrempf, 2014: 302).

In other words, the social connection approach stresses the notion that different actors connected to an issue, share responsibility with each other.

Social connection model – 5 essential characteristics

1) **Broad perspective**: rather than seeking a single culprit, the focus is on all parties directly or indirectly linked to the injustice or the creation of harm.

2) **Shared responsibility**: responsibility is attributed to a group of people, with each individual accountable for their own specific sphere of involvement.

3) **Future-oriented approach**: while a "liability model" sanctions or punishes past actions that have resulted in injustice, the "social connection model" (SCM) calls for a collective process aimed at transforming the situation with an eye toward the future.

4) **Assessing the entire context**: all agents play a mediating role in addressing social injustices. It is the background conditions themselves that are called into question.

5) **Collective action**: structural problems can only be resolved through the coming together of multiple parties in collective action.

From Liability to Social Connection Corporate Responsability

Liability CR	Social connection CR
Causality	Social connection
Absolution of others	Shared responsibility
Retrospective argumentation	Prospective perspective
Accept static background conditions	Question background conditions
Communitarian/cosmopolitan approach	Mainly cosmopolitan approach

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Social connection model (Young)

Power:

"An agent's position within structural processes usually carries with it a specific degree of potential or actual power or influence over the processes that produce the outcomes. Where individuals and organizations do not have sufficient energy and resources to respond to all structural injustices to which they are connected, they should focus on those where they have a greater capacity to influence structural processes."

(Young 2006, p. 127; Young 2011, p. 144).

Privilege:

"Their being privileged usually means, moreover, that they are able to change their habits or make extra efforts without suffering serious deprivation"

(Young 2011, p. 145).

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Social connection model (Young)

Interest:

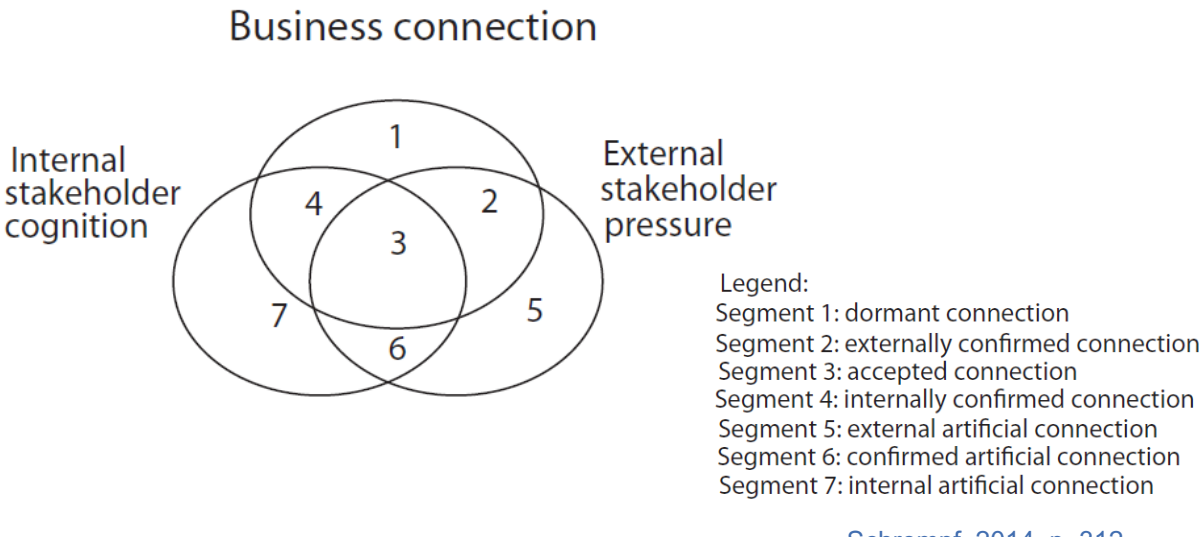
"*Often those with the greatest interest in perpetuating the structure are also those with the greatest power to influence their transformation*"
(Young 2006, p. 128).

Collective ability:

Agents often need to "*reorganize their activities and relationships to coordinate their action or coordinate it differently*" (Young 2011, p. 147).

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When does an issue become an Issue?



Schrempf, 2014, p. 312

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When does an issue become an Issue?

Business connection

- Through corporate activities or product effects

(e.g. violent video games, guns, infant formula, ... Merkel and automobile industry, marketing, Tamoil in Libia, GM in Southafrica,etc.)

- Direct and indirect connections
- Positive vs negative connections (Colalife, Nokia Siemens Networks in Iran, IBM and Nazi)
- Intended or unintended

Action responsibility = any concrete CR behavior that supports changes and leads to favorable conditions

Information responsibility = to give an account

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Diffusion of responsibility

Upstream responsibility

Sweatshops, etc.

e.g.: Starbucks and Fair trade coffee, Nike and subcontractors' workers, garments industry

Historical responsibility

Past events

e.g.: Ikea and East Germany

Company

Social connection responsibility

Forward-looking perspective – try to change the system

e.g.: fair trade, slow food, etc.

Downstream responsibility

Product security, guns, gaming, etc.

e.g.: IBM and Nazis, Ford and Iveco and Chine executions

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When does an issue become an Issue?

Internal and external stakeholders

"Internal stakeholders might be cognizant of the social connection between corporate activities/products and a societal issue. This cognizance might create dynamics and encourage companies to act upon their connection.

The impact of external stakeholders is more complex. External stakeholders might connect corporations to issues, irrespective of whether there is a connection between business operations and the issue. Therefore, external stakeholders might assign an actor responsibility for an issue without any connection between the business activity and the issue or between the product and the issue"

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When and issue become an Issue?

- Type of stakeholder (see for example Mitchell, Agle and Wood, 1997)
- Stakeholder capacity to be heard (dependence - Frooman, 1999)

Stakeholder pressure functions as a catalyst for triggering action. Responsibility exists regardless of stakeholder pressure. As soon as the firm is connected to an issue through it business it has a responsibility.

Participation responsibility (es. Multistakeholder initiatives – MSI)

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